EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Gattaran was founded on May 20, 1963, during the Spanish Expedition to the Philippines, through the leadership of Juan De Salcedo. It was discovered as a tribal community, together with the Municipality of Buguey. And in 1877, by virtue of the Diocesan Order from the Bishop of Nueva Segovia, it was declared as the seat of civil government covering Dummun and Nassiping as the attached community, by the recommendation of Fray Francisco Suejos, O.P.

The Municipality is located at the center of the Province of Cagayan. It is approximately 66 kilometers from Tuguegarao City and 40 kilometers from Aparri. The mountain ranges on the east are a portion of the Sierra Madre Mountain and are bounded on the north by the Municipality of Lallo, west by the Municipality of Lasam and in the south by the Municipalities of Baggao and Alcala. It has 50 barangays and is classified as a 1st class municipality, with a land area of 70,750 hectares.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of Local Government Units to include not only the ability to create other sources of funds but also give them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the national government's thrust for sustainable social and economic development.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Gattaran, Cagayan for CY 2021 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles and whether prevailing laws, rules and regulations have been complied with. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Gattaran, Cagayan for the year ended December 31, 2021, with comparative figures for CY 2020, are as follows:

Particulars	2021	2020	Increase (Decrease)
Financial Condition			
Total Assets	P 696,944,366.20	P598,307,112.17	98,637,254.03

Total Liabilities	139,254,684.06	82,006,419.87	57,248,264.19
Total Government Equity	557,689,682.14	516,300,692.30	41,388,989.84
Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	321,171,138.37	299,721,136.88	21,450,001.49
Total Expenses (Includes Total Operating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations	280,474,191.65	251,134,838.22	29,339,353.43
b) Appropriations, Allotments and Obligations:			
Appropriations-Current	P403,594,400.62	P309,468,236.00	94,126,164.62
Appropriations-Continuing	67,031,448.92	75,433,263.53	(8,401,814.61)
Allotments – Current	403,594,400.62	309,468,236.00	94,126,164.62
Allotments –Continuing	67,031,448.92	75,433,263.53	(8,401,814.61)
Obligations – Current	337,105,502.00	238,044,424.23	99,061,077.77
Obligations -Continuing	40,584,231.35	36,339,907.72	4,244,323.63
Funds Transferred from Other Agencies			
NGAs	P 5,251,900.00	P 7,554,294.00	(2,302,394.00)
LGUs	150,000.00	50,000.00	100,000.00
NGO/POs		10,000.00	(10,000.00)
Others		100,000.00	(100,000.00)
Total	5,401,900.00	7,714,294.00	(2,312,394.00)
Funds Transferred to Other Agencies			
NGAs	P -	P -	P -
LGUs	-	-	-
NGO/POs	-	-	-
Others	-	-	-
Total	-	-	-

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Gattaran for the year-ended December 31, 2021 due to the following:

1. The Cash in Local Treasury account as of December 31, 2021 amounting to P187,898.09 was understated by P1,766,192.49 due to the untimely turn-over and recording of collections to the Liquidating Officer amounting to P1,604,867.07 and non-adjustment or non-recording of various book reconciling items noted during the conduct of cash examination with a net amount of P161,325.42;

2. The Cash in Bank, Local Currency, Current Account was overstated by P55,199.66 due to unrecorded check disbursements;

3. Outstanding checks amounting to P26,645.00 representing stales for more than six months and less than two years was not reverted to Cash in Bank, Local Currency, Current Account while check disbursement of P6,120.00 remained unrecorded in the book of accounts;

4. Progress Billing of Infrastructure Assets amounting to P1,700,608.04 was directly recorded as Road Networks account instead of Construction in Progress-Infrastructure Assets; and

5. There was a discrepancy of P10,929,010.92 between the Property, Plant and Equipment (PPE) account balance of P616,077,108.88 and Report of Physical Count of Property, Plant and Equipment (RPCPPE) of P605,148,097.96.

D. Summary of Significant Observations and Recommendations:

The following are among the Audit Team's significant audit observations and recommendations:

1. The accuracy and reliability of the Real Property Tax and Special Education Tax Receivables accounts presented in the Financial Statements totaling to P1,705,840.12 and P1,802,772.81, respectively, could not be relied upon due to the non-submission of the Municipal Treasurer to the Municipal Accountant of the list showing the names of the taxpayers and the amount due and collectible therefrom for the current year based on the Real Property Tax Account Register/Taxpayer's Index Card. Hence, the Municipal Accountant was not able to set-up the RPT and SET Receivable accounts at the beginning of the year in accordance with Section 20 of the New Government Accounting System (NGAS) Manual for Local Government Units.

   We recommended that Management instruct the Municipal Treasurer to fast tract the updating and reconciliation of records to ensure complete and accurate inputs in the electronic system. After which, submit the certified list of taxpayers showing the amount of tax due and collectible therefrom for the year and thereafter to the Municipal Accountant as basis in the set-up at the beginning of the year the receivable account in the books to present fairly the Real Property Tax Receivable/Special Education Tax Receivable in compliance with Section 20 of the NGAS Manual for LGUs.

2. Other Receivables account with a balance of P11,892,791.31 has remained unsettled/ uncollected as of December 31, 2021 of which P692,828.81 is undocumented which is not in consonance with Section 2 of Presidential Decree (P.D.) No. 1445, thus may result to loss of government fund.

Also, no aging of the receivables was prepared to identify dormant accounts aging more than 10 years, of which the collectability could no longer be ascertained, and to be subjected for possible write-off pursuant to COA Circular No. 2016-005 dated December 19, 2016, thus affect the reliability and fair presentation of the account in the financial statements.

We recommended that Management instruct the Municipal Accountant to:

a. issue at least three (3) demand letters to the accountable officials, former employees and suppliers for the immediate settlement of their liability to the LGU. Likewise, reconcile/trace the details of the receivables of the receivables totaling P692,828.81; and

b. prepare aging of receivables and identify accounts qualified for request for write off of receivables pursuant to COA Circular 2016-005 dated December 19, 2016.

3. The reliability and existence of the Inventories account amounting to P1,047,034.31, could not be ascertained due to non-conduct of semestral physical count of the inventories as of December 31, 2021 which is not in keeping with Section 124 of New Government Accounting System Manual (NGAS), thus, affects the fair presentation of the relevant accounts in the financial statements.

   Moreover, goods, drugs and medicines, supplies, and materials purchased totaling to P21,934,624.00 were recorded as outright expenses, instead of initially recording the same to the appropriate inventory accounts. Likewise, the procedures and the preparation of the forms and reports on requisition, receipt, recording and issuances of inventory were not strictly observed, which is not in keeping with Section 114 New Government Accounting System Manual (NGAS, hence the inventories are not duly accounted for and fairly presented in the financial statements.

   We recommended that Management:

   a. instruct the Municipal GSO to conduct physical count of inventories every semester and prepare the corresponding Report on Physical Count of Inventories duly reconciled with the records of the Accounting;

   b. instruct the Municipal Accountant to record inventories on using the perpetual inventory method and strictly observe the accounting for inventory as prescribed under Chapter 7, Volume 2 of the NGAS Manual for LGUS.

4. The Subsidiary Balances of Due to NGAs account did not reconcile with the records of the Source Agency (SA) having a difference of P5,317,984.44 which is not in keeping with Section 111 of Presidential Decree No. 1445.

   We recommended that Management instruct the Accountant to account the unreconciled difference of P5,317,984.44 by verifying the individual Subsidiary Ledger and check against the subsidiary record of the Department of Health.

5. Actual expenses incurred for some programs/projects/activities under the Local Disaster Risk Reduction Management Fund (LDRMMF) for MOOE amounting to P7,981,241.99 exceeded the budget allocated for such expenses amounting to P6,456,650.00 by P1,524,591.99 which is not in accordance with COA Circular No. 2012-002 dated September 12, 2012.

   Also, no separate Registry of Appropriations, Allotment and Obligations (RAAO) for QRF, MOOE and CO were maintained for monitoring and identification of unexpended balance of QRF and MOOE to be transferred to the Special Trust Fund to incorporated in the Local Disaster Risk Reduction Management Fund Investment Plan (LDRRMFIP) as prescribed in COA Circular 2012-002 dated September 12, 2012.

   We recommended that Management:

   a. submit justification/explanation on the incurrence of disbursements/obligations, in excess of the budgeted amount amounting to P1,524,591.99. Likewise instruct the Municipal Budget Officer to strictly monitor and ensure that the charges against the fund are in accordance with the approved LDRRMFIP;

   b. instruct the Municipal Budget Officer to maintain separate RAAO for QRF, MOOE and CO pursuant to COA Circular No. 2012-002 dated September 12, 2012 and identify the unexpended QRF and MOOE from previous years as basis of the accountant in preparing the journal entry to set up the Trust Liability-unspent LDRRMF.

E. Summary of total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					

Prior Years	P31,200.00	-	-	P31,200.00	-
Current Years	-	-	-	-	-
Total	**P31,200.00**	-	-	**P31,200.00**	-
Charges					-
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	-	-	-	-	-

F. Status of Implementation of Prior Years' Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2020 Annual Audit Report is summarized as follows:

Implemented		27
Not Implemented	1	
Not Implemented and restated in Part II of this report	18	19
TOTAL		**46**